

First, Defendant's motion is procedurally defective. Defendant has not shown compliance with Rule 3.500 of the California Rules of Court ("CRC") that requires a meet and confer process involving all parties to all of the affected cases:

A party that intends to file a motion under Code of Civil Procedure section 403 must first make a good-faith effort to obtain agreement of all parties to each case to the proposed transfer and consolidation.

CRC 3.500(b).

The moving party's supporting declaration fails to indicate that such meet and confer has happened with all parties involved in the Out of County Cases. See Declaration of Matthew C. Salmonsens ("Salmonsens Decl."), ¶¶1-9. Although the moving party's brief cites to Paragraph 4 of this declaration in support of the proposition that "all parties have agreed to the transfers and consolidation" (see MPA, p. 5 and fn. 23 thereto), that paragraph says nothing about contacting **all of the other parties in both of the Out of County Cases**. See Salmonsens Decl., ¶4.

Nor has the moving served such parties with this motion or the other courts. Code Civ. Proc. § 403 ("Notice of the motion shall be served on all parties to each action and on each court in which an action is pending.").

Even if not procedurally defective, the Court would deny the motion. It is clear that that the Out of County Cases involve suits on unrelated debts. That similar defenses (or affirmative claims regarding wrongful conduct by a debt collector or its attorneys) may be raised does not persuade that Court that transfer and consolidation is appropriate. If class action status is sought to redress broader allegations of industry wide improper practices, that is another matter and can be considered by the Court in ruling on class certification or related procedures involving the purported representative action.

Disposition

The Court finds and orders as follows:

1. The Motion to Transfer and Consolidate and Joinder are DENIED.
2. The Court shall issue the order.

3. 9:00 AM CASE NUMBER: C23-03252

CASE NAME: COURTNEY NIELSON VS. DIANA GEORGE

HEARING ON SUMMARY MOTION

FILED BY: NIELSON, COURTNEY

TENTATIVE RULING:

Before the Court is a motion for summary judgment, or adjudication in the alternative, filed by plaintiffs Courtney Nielson and Nicholas Bunch. The motion is **DENIED** on both procedural and substantive grounds, as discussed below. Even assuming plaintiffs had met their initial burden to show entitlement to judgment as a matter of law, defendants have shown triable issues of material fact.

I. Background

Plaintiffs filed suit against defendants, DG Design Group Builders, Inc.; Diana George; Donald

E. Murphy; American Contractors Indemnity Company in December of 2023. They seek damages related to allegedly defective construction work by DG Design Group Builders, Inc. and Diana George, and for damages related to the “predatory business practices” (illegally collecting advance payments prior to performance) of these same defendants. (Complaint, 1:24-2:2.) These defendants (DG Design Group Builders, Inc. and Diana George) worked at plaintiffs’ property pursuant to a written agreement for the purpose of renovating plaintiffs’ home. Plaintiffs also allege defendant Murphy fraudulently acted as the “Responsible Managing Officer” (“RMO”) of DG Design Group. Finally, plaintiffs have named American Contractors Indemnity Company as the bond company of DG Design Group in order to recover DG Design Group Builders’ contractor’s bond. (Complaint, 2:4-2:9.)

The complaint sets forth seven causes of action for (1) Breach of Contract, (2) Breach of Home Improvement Contract, Business and Professions Code § 7159, (3) Recovery Against Unlicensed Contractor, Business and Professions Code § 7031(b), (4) Negligence, (5) Fraud, (6) Violation of Business and Professions Code § 7160, and (7) Claim on License Bond.

II. Motion and Opposition

Plaintiffs move for summary judgment or, in the alternative, summary adjudication. The notice of motion describes the issue for summary adjudication as follows: “Defendant DG Design Group Builders, Inc. was an unlicensed contractor because the responsible managing officer, under which Defendant DG Design Group Builders, Inc. was licensed did not meet the minimum requirements set forth in Bus. & Prof. Code §7068. Therefore, Defendant DG Design Group Builders, Inc. must disgorge all compensation received from Plaintiffs. In addition, Plaintiffs are entitled full amount of the contractor’s license bond, issued by Defendant American Contractor’s Indemnity Company (“ACIC”), as well as an award of attorney’s fees and costs, pursuant to CCP §1029.8.”

In support of their motion, plaintiffs provide the SSUMF, a declaration from Nicholas Bunch, a request for judicial notice, and a declaration from counsel which attaches various discovery documents including deposition transcript excerpts, responses to requests for production, and the construction schedule.

Defendants oppose the motion. They submit declarations from both George and Murphy. They also submit a declaration from their attorney which attaches deposition testimony by plaintiff Nicholas Bunch. Defendants respond to the SSUMF, provide additional material facts, and object to the evidence provided by plaintiffs.

In reply, plaintiffs provide a declaration from another attorney, object to defendants’ opposition evidence, and respond to defendants’ additional material facts.

III. Evidentiary Matters

The request for judicial notice is **DENIED**. To the extent the matters sought to be noticed are not hearsay, their relevance is questionable.

The defendants’ objections in opposition to the motion, as well as the objections by plaintiffs on reply, are **OVERRULED**.

IV. Standard

For purposes of both motions for summary judgment and motions for summary adjudication, a plaintiff’s burden consists of showing that there is no defense to a cause of action, and the plaintiff meets this burden by proving each element of the cause of action. (Code Civ. Proc., § 437c (p)(1); see also *Paramount Petroleum Corp. v. Superior Court* (2014) 227 Cal.App.4th 226, 239-240.) Only where

plaintiff satisfies this initial burden does the burden shift to the defendant to showing a triable issue of material fact exists as the cause of action or a defense thereto. (Code Civ. Proc., § 437c (p)(1).) In ruling on the motion, the Court must view all of the evidence and inferences reasonably drawn therefrom in the light most favorable to the opposing party. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 843.)

A party may move for summary adjudication as to one or more causes of action within an action, which may only be granted where it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty. (Code Civ. Proc., § 437c (f)(1).) A motion for summary adjudication may be made by itself or as an alternative to a motion for summary judgment and shall proceed in all procedural respects as a motion for summary judgment. (Code Civ. Proc., § 437c (f)(2).)

V. Discussion

A. Procedural Grounds for Denial

Plaintiffs purport to be requesting summary adjudication, but the Court notes that no causes of action are specifically identified in the notice of motion or in the SSUMF. While the reply brief attempts to dismiss this concern as one of “formatting,” the failure to comply with the rules deprives both the Court and defendants of insight into what facts plaintiffs contend are necessary for each cause of action. Because “[s]ummary judgment is a device for narrowing issues for trial, not a trap for an unwary opponent,” entertaining a motion for summary adjudication as to any particular cause of action here would be improper. (*Homestead Sav. v. Superior Court* (1986) 179 Cal.App.3d 494, 498; see also Cal. Rules of Court, rule 3.1350(b).)

While the Court could look past the above issue if it were to construe the instant motion as solely for summary judgment, such a motion could not be granted. Plaintiffs have not shown they are entitled to judgment on all seven causes of action, some of which are not mentioned in the moving papers at all. Even assuming summary adjudication could be properly entertained on the papers here, plaintiffs fail to meet their initial burden or, if they do, defendants successfully show material disputes of fact.

B. Substantive Grounds for Denial

Plaintiffs contend DG Design Group Builders, Inc. was unlicensed due to the lack of qualifications by defendant Murphy, its responsible managing officer.

The Contractors' State License Law (CSLL), section 7000 et seq., is a comprehensive legislative scheme governing the construction business in California. The CSLL provides that contractors performing construction work must be licensed unless exempt. (*White v. Cridlebaugh* (2009) 178 Cal.App.4th 506, 517, citing Bus. & Prof. Code, §§ 7026 et seq., 7040 et seq.) “The licensing requirements provide minimal assurance that all persons offering such services in California have the requisite skill and character, understand applicable local laws and codes, and know the rudiments of administering a contracting business.” (*Id.*, quoting *Hydrotech Systems, Ltd. v. Oasis Waterpark* (1991) 52 Cal.3d 988, 995.) The licensing requirement and the penalties for violating that requirement are designed to protect the public from incompetent or dishonest providers of building and construction services. (*Ibid.*)

When a corporation, such as DG Design Group Builders, Inc., applies for a contractor's license, it must qualify through either a “responsible managing officer” (RMO) or “responsible managing employee” (RME), who is, himself or herself, eligible for the same license qualification. (Bus. & Prof.

Code, § 7068, subd. (b)(3).) The “qualifier” RMO or RME must be a bona fide officer or employee of the corporation and actively engaged in work encompassed by the license. (Bus. & Prof. Code, § 7068, subd. (c).)

Here, it is the position of defendants that Murphy was the RMO for DG Design Group Builders, Inc. Murphy has his own license number and the company has a separate license number. Murphy replaced the former RMO in 2022. Plaintiffs assert that Murphy would only “walk the job” and had no other responsibilities when he would visit. Though “walk to job” is not entirely clear, plaintiffs also contend he only spent ten to twenty minutes there when he would visit, and this was only every couple of weeks. (See SSUMF Fact Nos. 11-12.) Plaintiffs outline various tasks that Murphy did *not* perform. (SSUMF, Fact Nos. 11-16.)

The list of tasks plaintiffs contend Murphy did not perform does not necessarily preclude compliance with the statutory scheme. Most importantly, plaintiffs do not rule out that Murphy was exercising “direct supervision or control” as required by Business and Professions Code, § 7068.1 (a), by “monitoring and being available to assist others to whom direct supervision and control has been delegated.” (Bus. & Prof. Code, § 7068.1 (c)(3).)

Plaintiffs fail to meet their initial burden. The additional facts highlight this issue by including statements that “Murphy and George discuss projects weekly” and Murphy “monitors the projects and work” and “makes himself available to assist others within the company who directly supervise and control the company’s operations [...]” (Additional Material Fact Nos. 37-38.)

While plaintiffs’ reply attempts to dismiss these statements in defendants’ declarations as “sham declarations” that contradict their depo testimony, the Court does not agree that there is complete contradiction. Plaintiffs’ own evidence shows Murphy testified he “would go look at jobs, make sure things are okay.” (Declaration of Ani N. Keledjian, Ex. B, 12:21-22.) This is consistent with the “monitoring” mentioned in Business and Professions Code, § 7068.1 (c)(3). Further, the fact that Murphy was never “consulted about any problems” (see Declaration of Ani N. Keledjian, Ex. B, 32:2-15) does not equate to him having not “being available” as mentioned in Business and Professions Code, § 7068.1 (c)(3).

Even assuming the procedural concerns with summary adjudication could be overcome, and that the moving papers shifted the burden to defendants, there are triable issues precluding summary judgment. (See, e.g., Additional Fact Nos. 37-38.)

Accordingly, the motion must be DENIED.

4. 9:00 AM CASE NUMBER: C24-00464
CASE NAME: WILMINGTON SAVINGS FUND SOCIETY, FSB, ETC. VS. LANE JENKINS
HEARING ON SUMMARY MOTION
FILED BY:
TENTATIVE RULING:

Before the Court is a motion by Wilmington Savings Fund Society, FSB, not in its individual capacity but solely as owner trustee on behalf of Antlr Mortgage Trust 2021-RTL 1 for summary judgment. For the reasons set forth, the motion is **DENIED, without prejudice.**

The motion for summary judgment is filed by the entity "Wilmington Savings Fund Society, FSB, not in